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An Economy in Recovery

In 2020, economic growth was negatively affected by the COVID-19 pandemic. The global economy is now emerging from the disruptions triggered by the pandemic and 2021 growth is expected to come in at 4.0%. In Kenya, economic growth is also expected to pick up, however, a number of measures taken by the government to curb the spread of the virus are likely to amplify macro-economic risks. Despite these risks, opportunities still exist for investors.

- **Economic rebound:** In 1H20, the Kenyan economy contracted by 0.4% due to measures taken by the government to curb the spread of the COVID-19 pandemic. In 2021, growth is expected to pick up as consumer confidence, consumption, and trade gradually improve. In order for the country's economic recovery not to lose steam, the government must ensure that the targeted support policies instituted to buoy growth during the COVID period are gradually removed. Delayed vaccine distribution, a second wave of the virus, reduced agricultural production, and unsupportive fiscal policy pose risks to growth and may lead to a sluggish recovery. Unfavourable weather conditions are likely to exert upward pressure on inflation.

- **Accommodative monetary policy:** CBK is likely to maintain an accommodative monetary policy stance as it seeks to support growth. Rising inflation and pressure on the shilling may preclude a rate cut. We therefore expect CBK to maintain the Central Bank Rate at 7.0%.

- **Fiscal risks:** The government's revenue collections have persistently fallen below target as it focuses on increasing the tax amount instead of the tax base. In order to plug the increasing budget deficits, the government has been forced to increase its borrowing. This has resulted in an increase in total debt that currently stands at KES 7.12 trillion. The sustainability of this debt remains a concern as the government breaches a number of debt sustainability indicators.

- **Equity market:** In 2021, company earnings are expected to increase as economic conditions improve. This coupled with the increase in foreign investor inflows is likely to drive a rally in the NSE.

January 25th, 2021

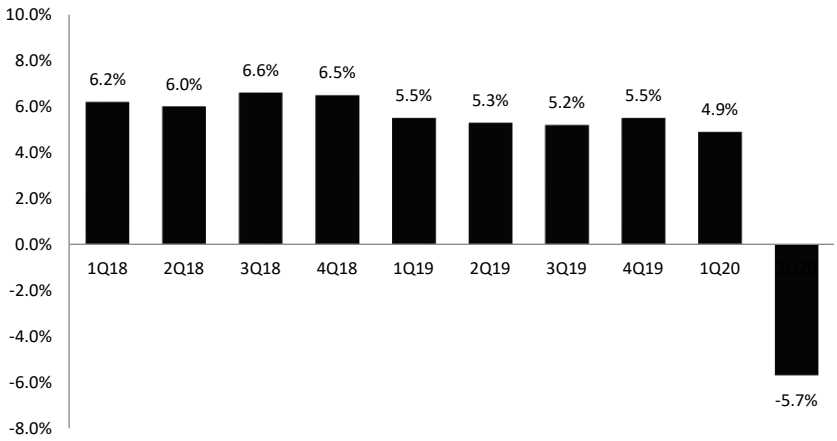
Sovereign Credit Rating:	
Moody's:	**B2 (negative)**
Fitch:	**B+ (negative)**
S&P:	**B+ (negative)**
GDP Growth (2Q20):	-5.7%
December Inflation:	5.62%
Interbank rate:	4.98%
C.B.R:	7.00%

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2Q20 Performance

- **Economic growth contracts:** In 1H20, the Kenyan economy contracted by 0.4% due to measures taken by the government to curb the spread of the COVID-19 pandemic. There was a shutdown in some sectors such as the tourism & hospitality and the education sectors, while activity in the manufacturing, transport and trade sectors greatly declined.

Graph 1: GDP Growth

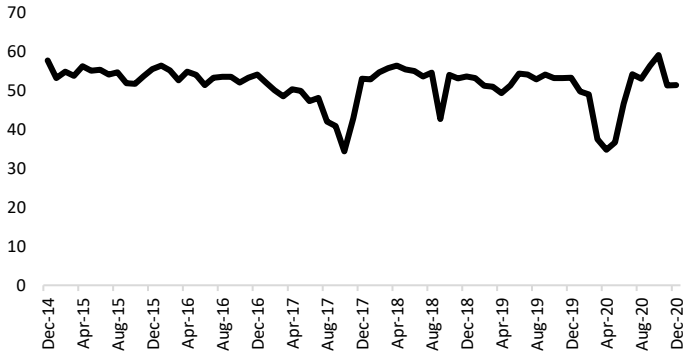


Source: KNBS

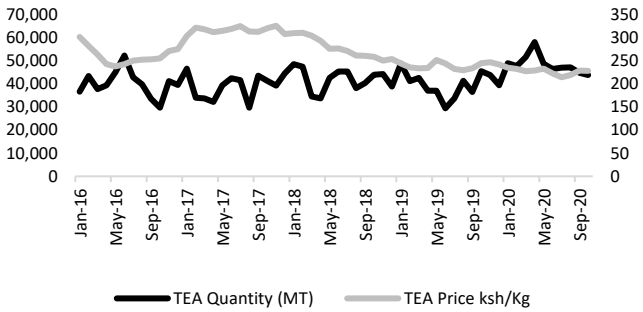
- **Increased growth in 2H20:** Economic activity is expected to have picked up in 2H20 as the government eased restrictions. Sectors such as Transport, Manufacturing, Wholesale and Retail, Construction, and Real Estate recorded an increase in activity. We maintain our 2020 growth estimate of 2.1% which is in line with the Kenyan government's growth estimate of 1%.

	2020 GDP Growth Estimate
Best case	2.60%
Base case	2.10%
Worst case	1.00%

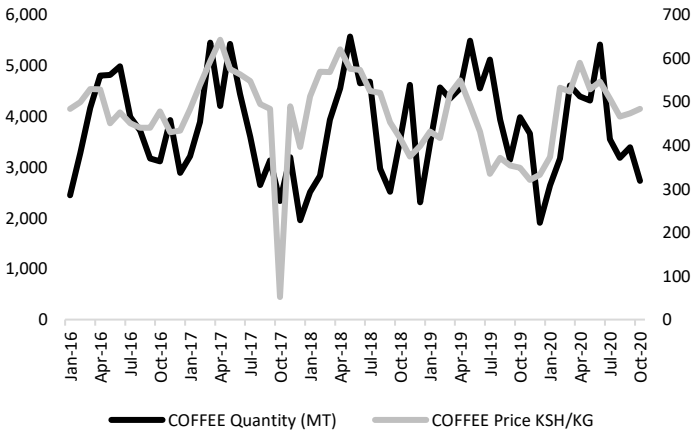
Graph 2: PMI



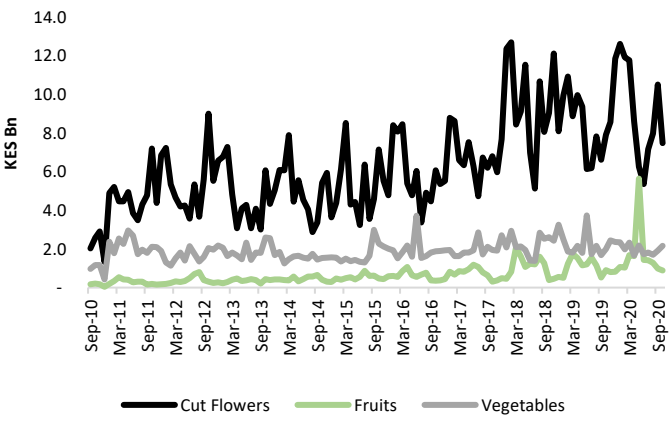
Graph 3: Tea



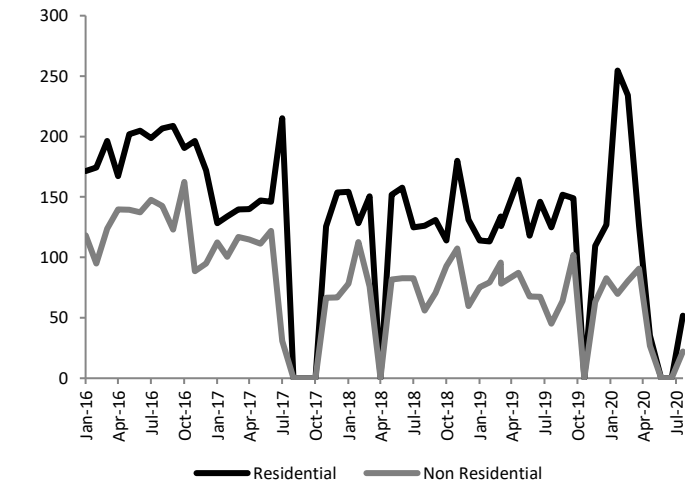
Graph 4: Coffee



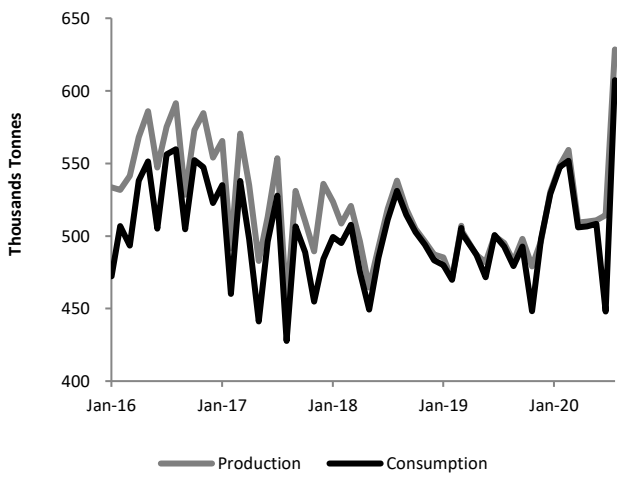
Graph 5: Horticulture



Graph 6: Value of Buildings



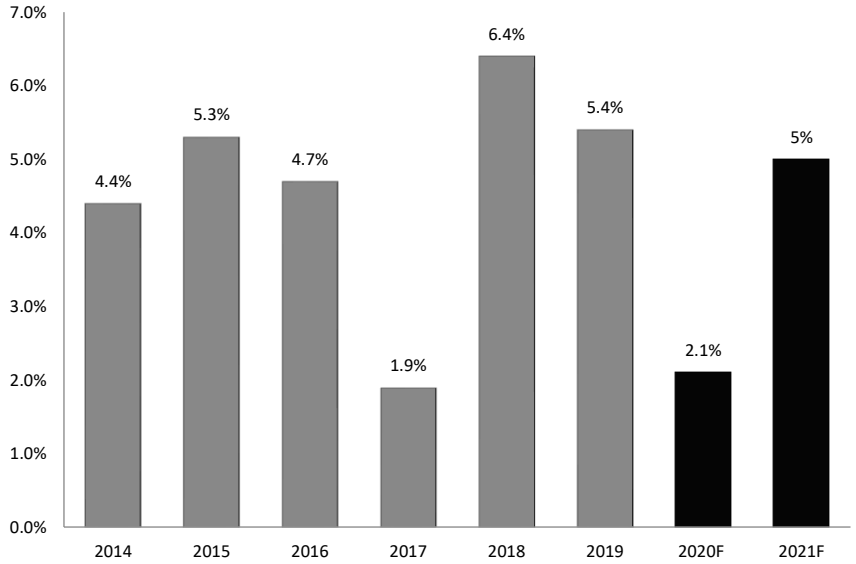
Graph 7: Cement



Source: KNBS, AIB-AXYS Africa research

➢**Economic activity to increase in 2021as growth is likely to fall within the range of 3.5% to 5.0%:** According to the World Bank, the Kenyan economy is expected to rebound in 2021 as growth is likely to accelerate to 6.9%. We view this estimate as too optimistic as we expect growth to fall between 3.5% to 5.0%

Graph 8: GDP Growth



Source: KNBS, AIB-AXYS Africa forecasts

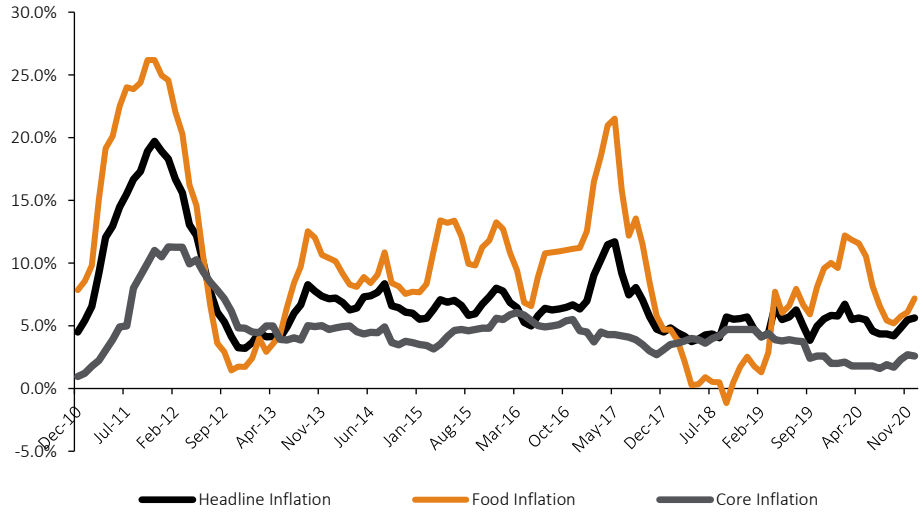
➢The factors that could dampen economic growth are:

- ❖ **Delayed vaccine distribution:** Doses of the COVID-19 vaccines are set to start arriving in the country in April. This means that a number of the COVID-19 restrictions (such as the curfew) that are currently in place will continue to dampen activity in 1Q21. Once the vaccination begins, an efficient vaccination process could hasten the economic recovery.
- ❖ **Second wave of the virus:** As second wave and a variant strain of the COVID-19 virus hit a number of countries. Governments have once again imposed lockdowns which are likely to reduce economic activity.
- ❖ **Reduced agricultural production**: There are forecasts that a La Nina could affect the country in 2021. Given Kenya's dependence on rain fed agriculture, we expect the sector to record a reduction in activity.
- ❖ **Unsupportive policies:** In order for the country's economic recovery not to lose steam, the government must ensure that the targeted support policies instituted to buoy growth during the COVID period are gradually removed. It is likely that monetary policy will remain accommodative for most of 2021 but fiscal policy has seen a sharp reversal following the resumption of the pre-COVID tax rates. The higher tax rates coupled with the government's increased appetite for domestic debt is likely to negatively affect economic growth.
- ❖ **Political risk:** In 2021 and 2022. the government is likely to focus its attention on a possible refurendum and the 2022 general elections. Thus government spending may be targeted to these agendas instead of development/growth related expenditure. There is also a minimal risk that some investors might adopt a wait and see attitude as we head towards the general elections.

Inflation

- **Subdued inflationary pressures:** In 2020, inflation remained subdued as food prices remained low and persistently soft demand helped contain inflationary pressures. Headline inflation came in at 5.21% versus 5.20% in 2019, while core inflation declined from 3.5% in 2019 to 2.0%.

Graph 9: Inflation



Source: KNBS, CBK, AIB-AXYS Africa research

- **Prices to increase in 2021:** In 2021, headline inflation is likely to edge higher driven by an uptick in local food prices, increased global commodity prices, the depreciation of the Kenyan shilling, and the relatively higher tax rates that had been lowered in 2020 as government sought to cushion Kenyans during the pandemic. Meanwhile, core inflation is likely to register a marginal increase but remain below 4%.

  According to the Kenya Meteorological Department, Kenya is expected to experience La Nina which is likely to lead to drier than average conditions for the Long Rains season of March-May 2021. This coupled with the recent increase in global commodity prices is expected to drive up the price of locally produced and imported food items. Meanwhile, oil prices are expected to gradually increase as demand picks up.

- **Double digit inflation in 2021:** Higher food prices are expected to push inflation above 10% in 2Q21. Over the past 10 years, inflation has touched double digits twice: 2011 and 2017. In both periods, the spike was mainly caused by a surge in food prices due to unfavourable weather conditions. In 2011, core inflation was also on an upward trend thus restrictive monetary policy was required to tame headline inflation while in 2017, CBK maintained the CBR at 10% despite the higher headline inflation as core inflation was subdued. In 2021, we expect a repeat of 2017 and not 2011 as core inflation is likely to remain muted.

Currency

- **Shilling depreciates against major currencies:** In 2020, the Kenyan shilling depreciated against major currencies due to an increased outflow of foreign funds.

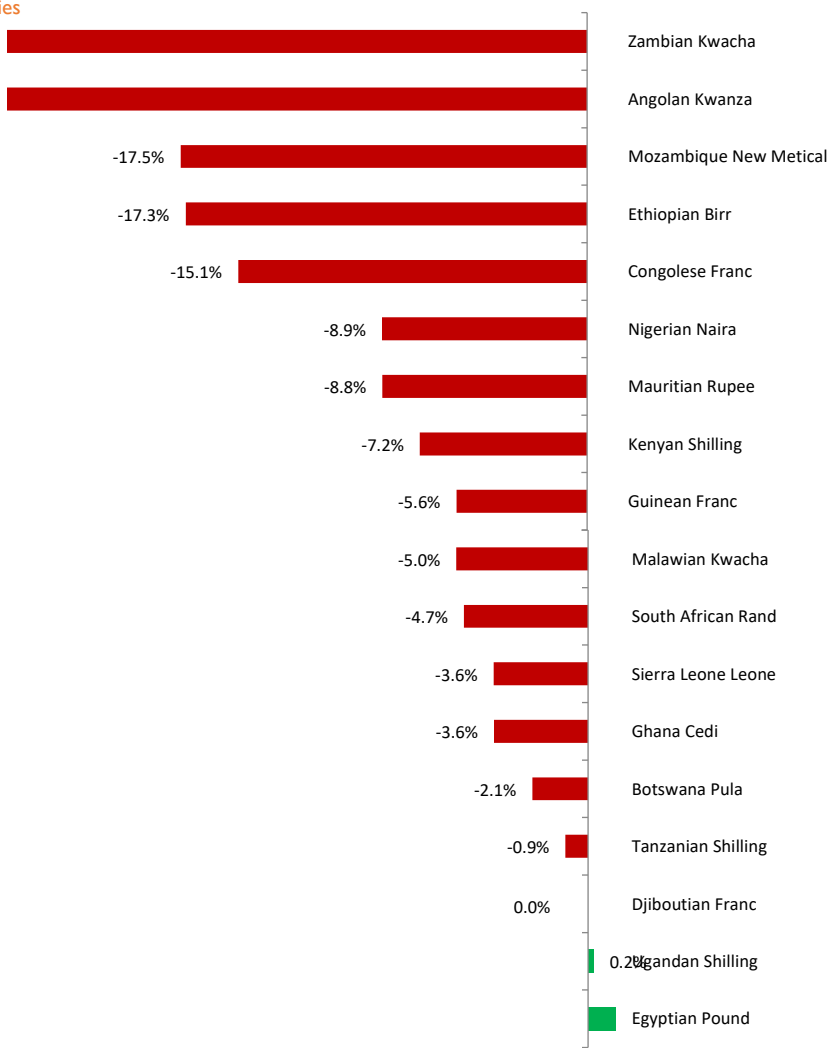
Table 2: Major currencies

	USD	EUR/KES	GBP/KES	JPY/KES	YUAN/KES	RUPEE/KES	KES/UGX	KES/TZS	RAND/KES
Performance	-7.2%	-15.1%	-10.4%	-12.4%	-13.3%	-4.8%	8.3%	6.8%	-3.6%

Source: CBK,AIB-AXYS Africa research

The shilling's relatively low depreciation against the USD may partly be attributed to CBK's regular intervention in the currency market as it sought to maintain the shilling's relative stability against the USD. Consequently, the shilling depreciated less when compared to other African currencies.

Graph 10: African currencies



Source: Bloomberg, AIB-AXYS Africa analyst estimates

➢ **Lower oil prices lead to a decrease in the country's current account deficit:** During the first half of 2020, the country's current account deficit narrowed on the back of a decrease in the import bill.

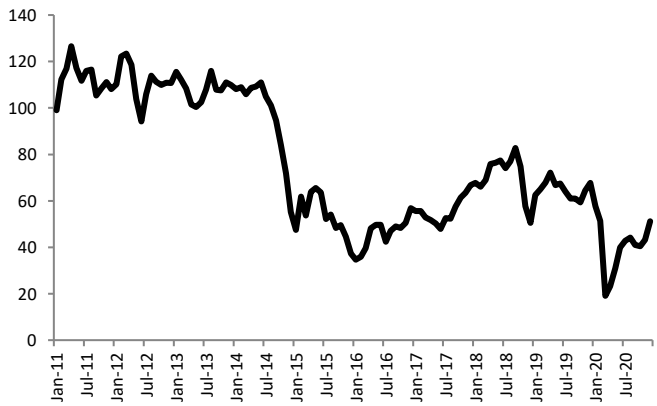
Graph 11: BOP



Source: KNBS, AIB-AXYS Africa research

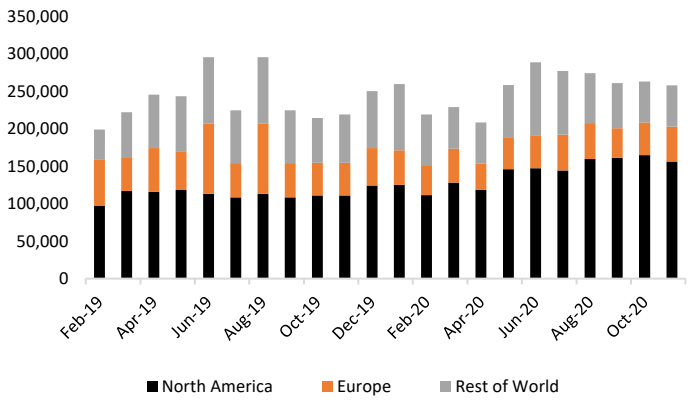
➢ In 2021, we expect the import bill to increase as oil prices rise while a rise in commodity prices is expected to buoy exports. The current account deficit is expected to widen as the growth in exports is likely to be slower than the rise in imports. This is because the quantity of agricultural exports is likely to be negatively affected by unfavorable weather conditions. Meanwhile, increased foreign investor inflows is likely to support the capital & financial account.

Graph 12: Crude Oil Prices (Brent)



Source: Bloomberg

Graph 13: Diaspora remittances



Source: KNCBK

Fiscal Policy

- **Revenue collections fall below target:** In March 2020, the government sought to cushion Kenyans against the adverse impact of the pandemic. The measures taken include:
  - lowering of the Value Added Tax (VAT) rate from 16% to 14%;
  - reduction of tax rates for both corporate and personal income (PAYE) from 30% to 25%,
  - provision of a 100% tax relief for persons earning a gross monthly income of up to KES 24,000
  - reduction of turnover tax rate from 3.0% to 1.0%.

  As a result, the government collected KES 1.7 trillion in FY2019/20 which was 7.0% below target. Meanwhile, total expenditure and net lending of KES 2.6 trillion was 9.0% below budget. This shortfall was attributed to lower absorption in both recurrent and development expenditures by the National Government. The overall deficit of KES 812.0 billion was 14.0% higher than the previous year and the increment was financed by an increase in domestic borrowing.

- **What drives government's revenue underperformance?** In the recent past, government's revenue collections have persistently fallen below target. We attribute this to the government's focus on increasing the tax amount instead of the tax base. Over the years, the government has focused on sectors that are easier to tax, mainly the formal sector. Consequently, there is currently a huge divergence between the sectors that contribute to GDP and those that contribute to revenue. More than half of the government's revenue is generated from the Manufacturing, ICT and Financial Services sectors yet these sectors only contribute 14.3% to the country's GDP.

Chart 1: Revenue contribution

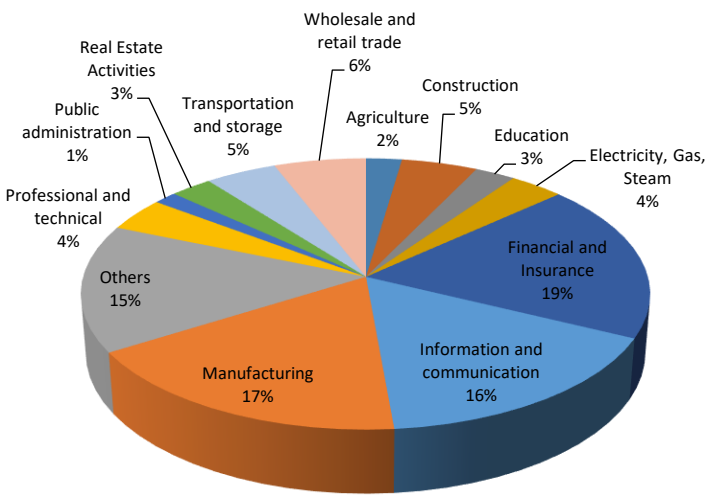
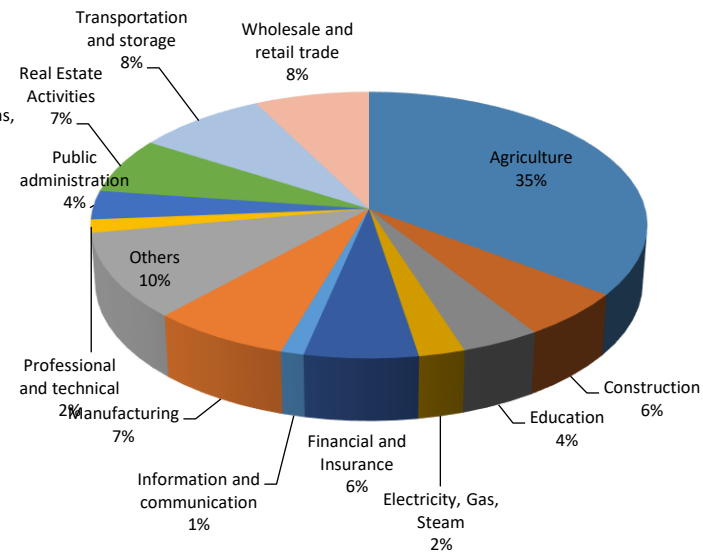


Chart 2: GDP Contribution



Source: Treasury, AIB-AXYS Africa research

The high tax burden on a few sectors (manufacturing, finance & insurance, and ICT) has led to a reduction in their size and contribution to GDP yet the government has continued to increase the specific tax rates. The result of this is a contraction of these sectors while the size of the agricultural sector has increased. Unfortunately, the productivity of the agricultural sector hasn't increased as its contribution to revenue has reduced.

A continuation of this trend is likely to lead to a reduction in productive sectors such as manufacturing, finance & insurance, and ICT and finally, government revenues will begin to decline as these sectors reduce in size.

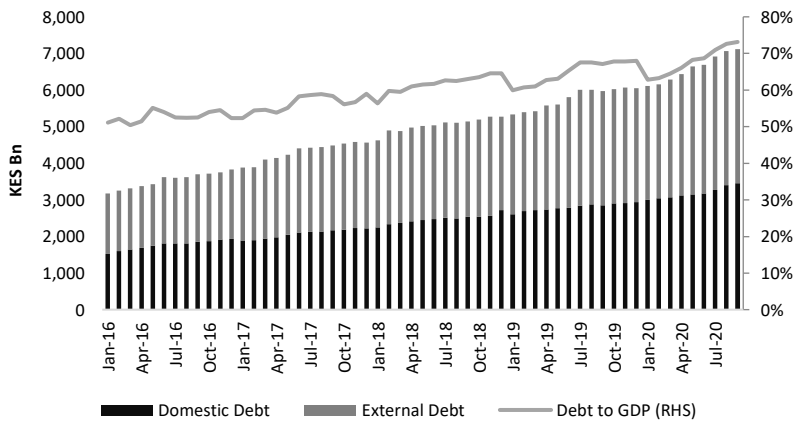
Table 2: GDP and Revenue trend

	GDP Contribution			Revenue Contribution		
	2017/18	2018/19	2019/20	2017/18	2018/19	2019/20
Agriculture	34.4%	34.6%	35.4%	2.4%	2.6%	2.3%
Construction	5.5%	5.5%	5.6%	5.1%	5.0%	4.9%
Education	4.2%	4.2%	4.1%	2.9%	2.5%	2.6%
Electricity, Gas, Steam	2.5%	2.3%	2.4%	4.0%	3.8%	3.5%
Financial and Insurance	6.6%	6.2%	5.9%	17.8%	18.4%	18.9%
o/w banks				13.4%	14.1%	14.9%
Information and communication	1.3%	1.3%	1.2%	13.9%	14.9%	16.4%
Manufacturing	8.0%	7.5%	7.2%	18.5%	18.3%	17.5%
Others	10.4%	10.5%	10.4%	16.4%	15.4%	15.2%
Professional and technical	1.7%	1.7%	1.6%	3.6%	3.7%	4.0%
Public administration	3.4%	3.5%	3.5%	1.5%	1.4%	1.5%
Real Estate Activities	7.0%	7.0%	6.8%	2.9%	2.8%	2.7%
Transportation and storage	7.6%	8.2%	8.5%	5.0%	4.6%	4.6%
Wholesale and retail trade	7.4%	7.5%	7.5%	6.0%	6.8%	5.9%
Total	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%

Source: Treasury, AIB-AXYS Africa research

- **Rising debt levels a source for concern:** In order to plug the increasing revenue shortfalls, the government has been forced to increase its borrowing. This has resulted in an increase in total debt that currently stands at KES 7.12 trillion.

Graph 14: Debt



Source: CBK, AIB-AXYS Africa research

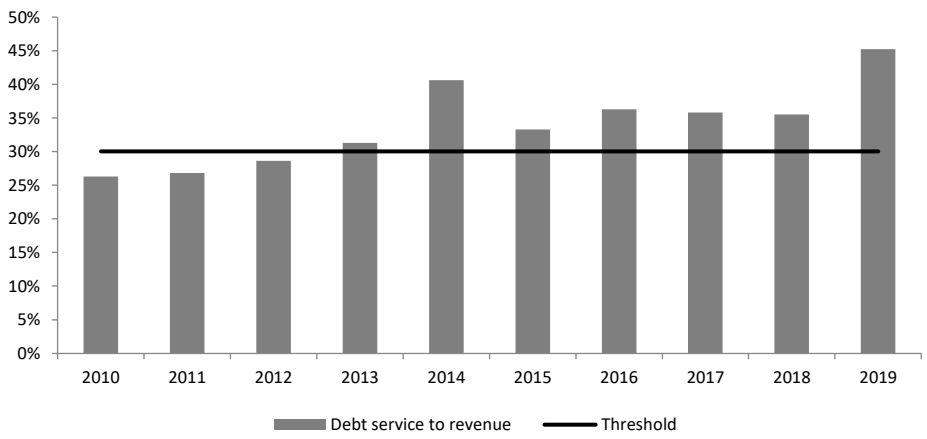
The IMF recently asked Kenya to include debt guarantees. As at the end of December 2019, the total amount of government guaranteed debt was KES 157.7 billion. This is likely to result in an increase in the country's reported debt levels.

The increased borrowing has raised questions over the sustainability of debt. A number of factors that should be considered when looking at sustainability of Kenya's debt are:

- **Debt to GDP ratio**: As shown in the graph above, the country's debt to GDP ratio has been increasing at a rapid rate.

- **Debt servicing**: High fiscal deficits have translated to into high debt service costs which in turn is emerging as a threat to fiscal sustainability. Debt service to revenue can be used as an indicator of government's ability to repay its debt. Since 2013, government's debt has remained above the threshold of 30%.

Graph 15: Government debt



Source: Treasury, AIB-AXYS Africa research

- **Currency composition of the debt**: Kenya faces a fiscal risk in the event of a depreciation of the shilling as 50% of debt is held in foreign currencies. The Kenya's shilling's depreciation against other currencies is likely to increase the debt servicing costs.

Chart 3: 2012 Currency composition

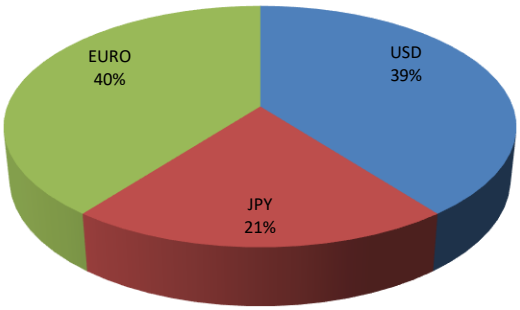
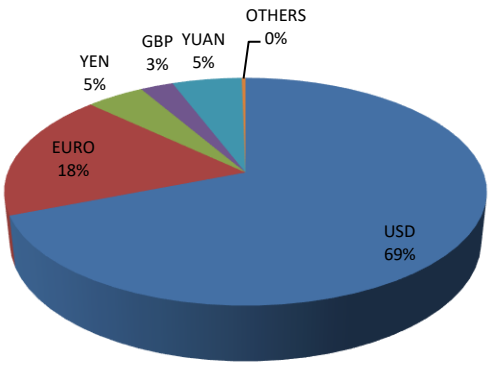


Chart 4: 2019 Currency composition



Source: Treasury, AIB-AXYS Africa research

- **Sources of financing**: In recent years, Kenya has reduced it reliance on multilateral and bilateral debt. This has lead to an increase in interest costs due to the higher interest rates on the Eurobonds and commercial debt.

Chart 5: Sources of financing (2012)

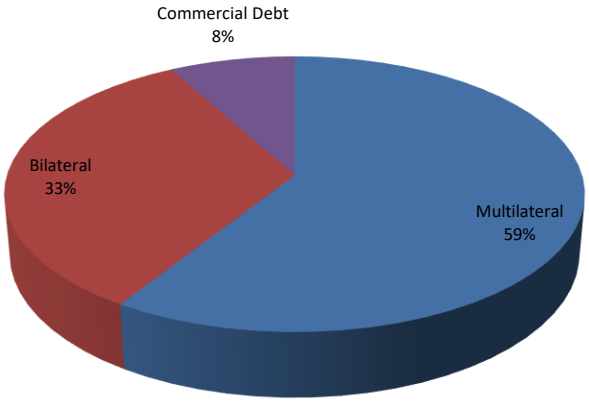
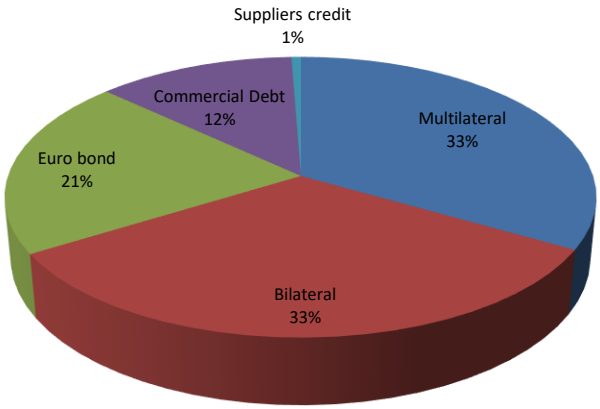


Chart 6: Sources of financing (2019)



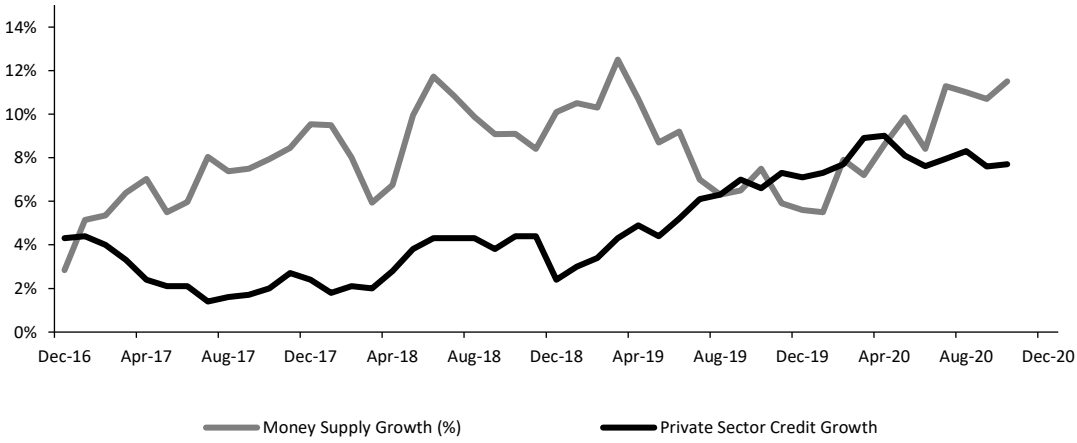
Source: Treasury, AIB-AXYS Africa research

- **Funding from IMF and World Bank:** Due to concerns over the country's debt, the government may find it difficult to borrow commercial debt and it is likely to focus on bilateral and multilateral debt. We therefore expect that the government's key sources of financing to come from the World Bank and the IMF. This is likely to result in the following:
  - **Lower interest payment:** These loans are concessional and tend to attract relatively lower interest rates
  - **Focus on reducing the budget deficit:** The IMF's assistance tends to come with conditions for the government to reduce the deficit by increasing revenue. This tends to result in an increase in taxes

Monetary Policy

- **Accommodative monetary policy:** During the year, the government implemented accommodative fiscal and monetary policies as it sought to support growth. CBK cut the Central Bank Rate (CBR) from 8.5% to 7.0% and reduced the cash reserve ratio by 100bps to 4.3%. These measures led to a rise in liquidity and encouraged commercial banks to increase lending.

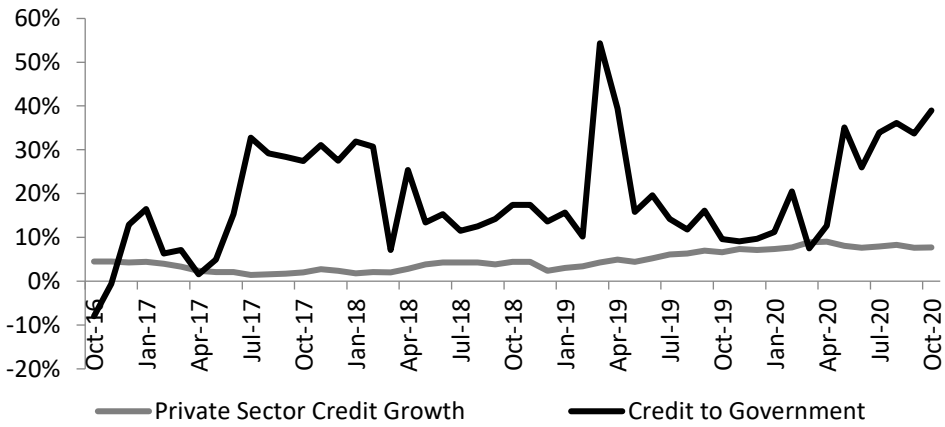
Graph 16: Money Supply & Private Sector Credit



Source: CBK, AIB-AXYS Africa research

- **Government crowds out the private sector:** Although lower interest rates and increased liquidity encouraged banks to lend to the private sector in 2020, the government continued crowding out of the private sector. In October 2020, credit to the government grew at 32% versus the 7.7% private sector credit growth. Government's appetite for domestic debt is likely to remain high in 2021 as it is unlikely to seek foreign financing to fund the higher budget deficit. This coupled with rising government borrowing rates is likely to dampen the growth of credit to the private sector. However, an increased appetite for risk (following the removal of interest rate caps and a pick-up in growth) may buoy private sector credit growth to low double digits.

Graph 17:Credit Growth



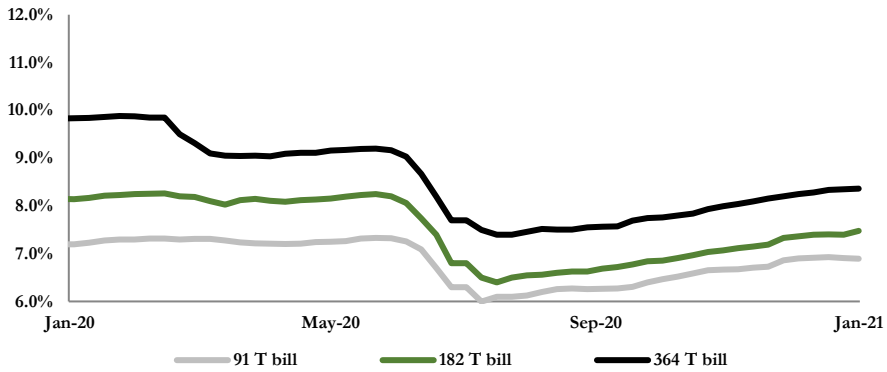
Source: CBK, AIB-AXYS Africa research

- **Monetary policy expectation:** The Central Bank's monetary policy decisions seek to maintain price stability and support economic activity. The currently accommodative monetary policy is likely to support growth. However, given our expectations of higher inflation, CBK is unlikely to reduce the rate further. We therefore expect CBK to maintain the CBR at 7.0%.

Interest Rates Outlook

- **Gradual increase in short-term interest rate:** As the government's appetite for debt remains elevated and the sustainability of government debt remains a source of concern, short term rates are likely to gradually increase. The performance in individual auctions, however, will continue to be determined by the prevailing liquidity at the time of the auction.

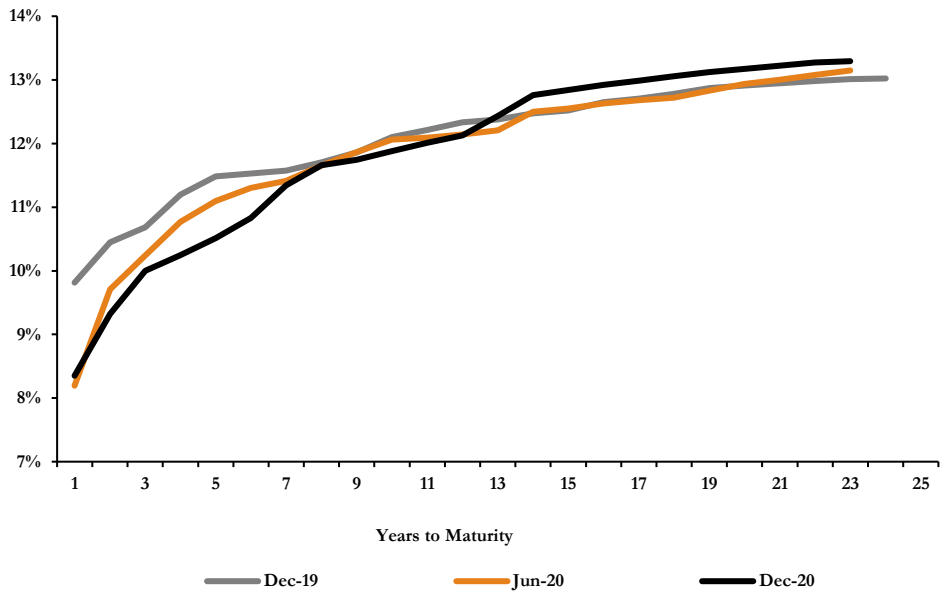
Graph 18: T-Bill rates



Source: CBK, AIB-AXYS Africa research

- **Yield curve expected to steepen:** In 2020, the yield curve steepened as short term rates decreased while longer term rates increased. The decline in short-term rates may be attributed to the elevated level of liquidity which exerted downward pressure on interest rates. In 1H21, we expect the long end of the yield curve to increase while the short end is likely to remain relatively unchanged with a downward bias.

Graph 19: Yield curve

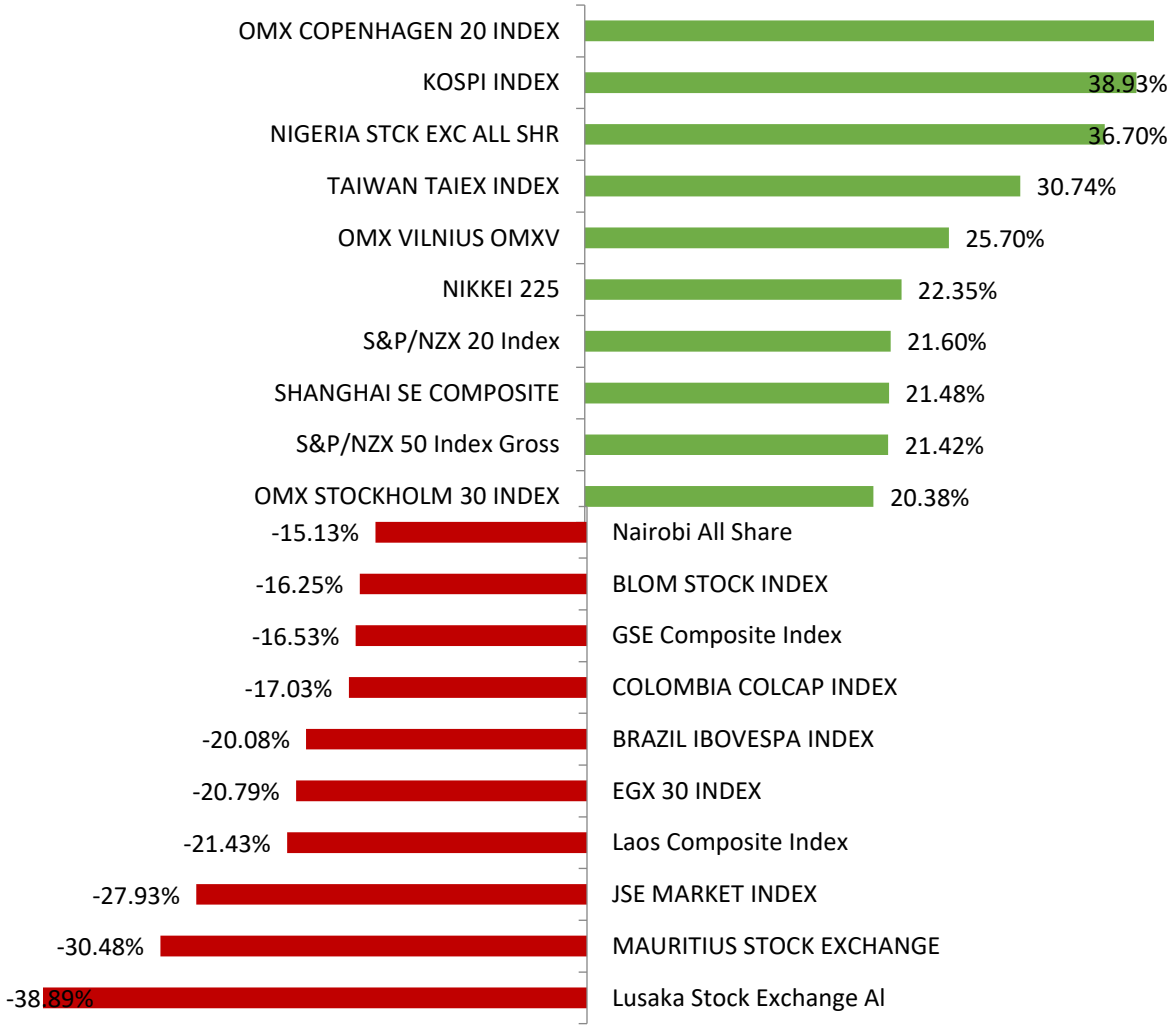


Source: NSE, AIB-AXYS Africa research

Equity Market

- **Negative returns:** In 2020, the NSE 20 and NASI lost 29.5% and 8.6% to close at 1872.42 and 152.11 respectively. In dollar terms, the NSE was one of the top ten worst performing indices in 2020 as it was down 15.1%. The poor performance was mainly attributed to an increase in foreign investor outflows.

Graph 20: Indices



Source: Bloomberg, AIB-AXYS Africa research

- **2021 Outlook:** In 2021, we expect a recovery in the equity market buoyed by an increase in foreign investor inflows. We expect increased investor focus on Safaricom and Banking stocks. In 2021, the Banking sector is likely to record an increase in earnings as lower NPL growth lead to a decrease in provisions.

- An increase in the demand for cement as economic activity increases is likely to support Bamburi's earnings. Meanwhile, profitability in the insurance sector is likely to be supported by increased investment earnings.

Counter	Current Price	Target Price	Upside	52 Week Low	52 Week High	BVPS	EPS	p/b	p/e	DPS	Expected EPS	Expected DPS
Safaricom	35.55	32.8	-7.7%	20.10	37.00	3.57	1.79	9.96	19.86	1.40	2.14	1.71
Equity	37.2	41.82	12.4%	28.00	55.50	29.62	5.98	1.26	6.22	N/A	5.52	0.00
KCB	36	46.17	28.3%	30.00	55.50	38.60	7.49	0.93	4.81	3.50	7.17	2.00
NCBA	25.4	30.29	19.3%	20.00	41.00	46.82	4.87	0.54	5.22	N/A	3.36	0.00
COOP	12.6	16.82	33.5%	10.05	17.00	13.71	2.44	0.92	5.16	1.00	2.20	1.00
DTK	73	97.2	33.2%	60.00	166.00	230.74	24.27	0.32	3.01	2.70	2.29	2.70
SCB	138.75	167.57	20.8%	145.00	225.00	139.04	23.49	1.00	5.91	12.50	22.10	7.50
ABSA	9.46	12.99	37.3%	8.50	13.85	8.32	1.37	1.14	6.91	1.10	1.20	0.50
I&M	46	57.2	24.3%	42.50	126.00	57.26	10.91	0.80	4.22	2.55	10.75	0.00
Stanbic	77.75	102.28	31.5%	72.25	117.75	103.52	13.47	0.44	3.41	7.05	13.30	0.00
EABL	150	188.2	25.5%	135.00	230.00	17.70	8.88	8.47	16.89	3.00	5.05	3.00
Bamburi	46.05	74.66	62.1%	19.05	145.75	79.08	1.74	0.58	26.47	N/A	1.52	0.00
NSE	8.5	10.05	18.2%	6.50	16.00	8.03	0.30	1.06	28.33	0.08	0.40	0.00
Britam	7.52	9.08	20.7%	5.70	10.50	11.61	1.41	0.65	5.33	N/A	-0.71	0.00
Liberty	7.42	13.41	80.7%	6.80	13.00	11.48	1.31	0.65	5.66	N/A	1.00	0.00
CIC	2.15	3.83	78.1%	1.95	4.85	3.00	0.12	0.72	17.92	N/A	-0.05	0.00
Kenya Re	2.51	3.28	30.7%	2.00	16.30	11.41	5.67	0.22	0.44	0.10	0.63	0.10
Jubilee Holdings	280	394.56	40.9%	210.00	462.00	389.77	55.44	0.72	5.05	9.00	26.93	8.00
Sanlam Insurance	14	13.09	-6.5%	11.00	26.00	55.44	0.79	0.25	17.72	N/A	-4.50	0.00

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